MORNING BRIEFING

Friday, 22 May 2026 | Generated 07:15 BST (London) | Pre-European Market Open

2. IMPORTANT NEWS

Iran Supreme Leader orders enriched uranium to remain in country — Reuters / CNBC, 21 May
Khamenei issued a directive that near-weapons-grade uranium must not leave Iran. Oil jumped over 3% intraday; Brent climbed back above $104. The ceasefire agreed ~8 April is under direct strain. US-Iran talks on enrichment limits remain deadlocked, with Trump threatening resumed military action within days.

Eurozone Composite PMI collapses to 47.5 in May — sharpest contraction since Oct 2023 — S&P Global / FXStreet, 21 May
Services fell to 46.4 (worst since early 2021); Manufacturing held at 51.4 but missed estimates. The data confirms the eurozone economy is shrinking at its fastest pace in 2.5 years, raising a stagflation dilemma for the ECB ahead of its June meeting.

Nvidia Q1 FY2027 record revenue $81.6B (+85% YoY); SoftBank surges 19.8% — Nvidia SEC / Invezz, 21 May
Data Centre revenue reached $75.2B (+92%). Board approved $80B buyback; dividend raised from $0.01 to $0.25 per share. SoftBank added $35B in market cap. Nikkei 225 rose 3.14%; Samsung Electronics +8.5% after a 47,000-worker strike was averted via a wage deal.

UK CPI eases to 2.8% in April from 3.3% — energy price cap effect — ONS / MoneyWeek, 21 May
Housing/utilities drove the downward move following the April 1 energy cap. Motor fuel prices provided an offset. Monthly CPI +0.7% vs. +1.2% in April 2025. The moderation supports a BoE rate-cut path, barring sustained oil shock from Iran.

Michigan Consumer Sentiment (prelim May) at 48.2 — near record lows; final due today — UMich / CNBC, 8 May
One-third of respondents cited gas prices; 30% cited tariffs. Year-ahead inflation expectations at 4.5%; long-run at 3.4%. Current conditions fell ~9%. Final reading released today at approximately 15:00 BST — a downward revision would deepen concern.

3. EUROPEAN FUTURES (PRE-OPEN)

INDEX	FUTURES LEVEL	SESSION RANGE	EXPECTED MOVE	CONTEXT
Euro Stoxx 50	**5,907**	5,876 – 5,909	Marginal gain	Opened at 5,888; AI tailwind vs. Iran risk offsetting
DAX	Live feed required	n/a	—	Context: ~24,700 Thursday close; PMI miss weighing
CAC 40	Live feed required	n/a	—	Weak PMI / Iran risk; energy names may support
FTSE 100	Live feed required	n/a	—	Commodity/oil exposure may outperform; GBP PMI risk

US FUTURES (CONTEXT)

INDEX	FUTURES MOVE	NOTE
S&P 500	+0.37%	Recovering from Thursday's -0.44%
Nasdaq	+0.50%	Nvidia post-earnings lift
Dow Jones	+0.37%	Broad-based recovery
Russell 2000	+0.46%	Small-cap continuation
Brent Crude (context)	+1.60%	Iran risk premium sustained pre-open

Data collected ~07:00 BST. Sources: Eurex, Barchart, CNN Markets, MarketRebellion.

4. YESTERDAY'S CLOSES — EUROPEAN INDICES (21 MAY 2026)

INDEX	CLOSE	CHANGE %	SESSION NOTE
Euro Stoxx 50	n/a	Marginally higher	Oscillated on Iran news; all major bourses turned green mid-afternoon
DAX	~24,700	~Flat / slight decline	Traded just below flatline; PMI miss and Iran weighed
CAC 40	n/a	Down ~31 pts	Iran ceasefire uncertainty and weak services PMI
FTSE 100	n/a	Mixed	Oil/energy exposure partially offset weak macro; UK CPI broadly in line
Stoxx 600	n/a	Marginally higher	Pan-European benchmark ended green despite intraday volatility

Sources: CNBC, Trading Economics. Specific closing levels for Euro Stoxx 50, CAC 40, FTSE 100 not independently confirmed — mark n/a and verify before use.

5. US MARKETS — YESTERDAY'S SESSION (21 MAY 2026)

INDEX	CLOSE	CHANGE %
S&P 500	**7,400**	-0.44%
Dow Jones	~49,735	-0.48%
Nasdaq	n/a	-0.50%
Russell 2000	n/a	+2.56%

Session tone: Risk-off for large caps. Oil spiked 3%+ after Reuters reported Iran's Supreme Leader ordered enriched uranium to stay in Iran, raising ceasefire doubts. US 10Y Treasury yields rose to 4.61%, weighing on rate-sensitive growth stocks. Small caps materially outperformed the blue-chip indices.

Leading sectors: Energy (oil spike), Materials, Small Caps / Domestics.

Lagging sectors: Technology (pre-Nvidia results caution), Consumer Discretionary, Utilities.

Key takeaway: Iran uranium directive reset risk appetite late in the session. Nvidia results (released after US close) sharply reversed technology sentiment; futures now point to a partial recovery at today's open.

Sources: The Street, Trading Economics, CNBC. Dow estimate based on prior close 49,985 – 0.5%.

6. ASIAN MARKETS — OVERNIGHT SESSION (22 MAY 2026)

INDEX	CLOSE	CHANGE %	KEY DRIVER
Nikkei 225	**61,684**	+3.14%	SoftBank +19.8% ($35B added) on Nvidia AI results; Japan exports +14.8% YoY Apr
Kospi	**7,815.59**	+8.42%	Samsung Electronics +8.5%; 47,000-worker strike averted via wage deal breakthrough
Hang Seng	**25,651**	-0.60%	Iran ceasefire uncertainty; cautious domestic demand sentiment
Shanghai Composite	**4,077**	-2.04%	Tumbled to 3-week low; geopolitical risk premium, weak domestic sentiment

> **Overall tone:** Sharply divergent. Japan and Korea surged on post-Nvidia AI momentum and positive corporate newsflow. China and Hong Kong fell on Iran ceasefire uncertainty. The Kospi gain of 8.42% is the largest single-session move since the Samsung wage deal news broke; SoftBank's 20% surge drove the Nikkei's outsized gain.

Sources: CNBC Asia, Business Standard, Invezz (21 May / overnight 22 May Asian session).

7. COMMODITIES

COMMODITY	LEVEL	CHANGE	CONTEXT
Brent Crude	**~$104/bbl**	+3%+ intraday (21 May)	Iran uranium directive; ~50% above pre-war levels. Pre-open +1.60%.
WTI Crude	**~$99.5/bbl**	Elevated	US inventory drawdown persistent; geopolitical risk premium maintained.
Gold	**>$4,500/oz**	Flat week	Conflicting Iran signals keeping investors cautious; ~14% below conflict-onset highs.
Natural Gas (US HH)	**$3.02/ MMBtu**	Prev. session -3.5%	Rebounded Thursday after prior session drop; Middle East premium limited.
Copper (LME)	**~$13,725/t**	-1.01%	Fell Thursday ($6.23/lb); structural AI/energy transition demand thesis intact. Goldman forecast +17% in 2026.

Sources: CNBC, Trading Economics, Goldman Sachs 2026 Commodities Outlook, LME (copper converted from $/lb). Data late 21 May 2026.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	NOTE
US 10Y Treasury	**4.61%**	+2 bps	Higher on oil-driven inflation concern and Iran risk; weighing on growth stocks.
German Bund 10Y	**~3.10%**	Slipped below 3.1%	Retreated from 15-year highs after PMI miss. ECB June hike actively debated.
EUR/USD	**1.1622**	-0.01%	Euro soft on PMI miss; DXY strength capping upside; range ~1.1599–1.1622.
GBP/USD	**1.3433**	-0.01%	Held near $1.343; UK PMI contraction weighing; UK CPI easing mildly supportive.
DXY (USD Index)	**99.39**	+0.30%	Dollar firming on geopolitical risk bid and higher yields; +0.81% past month.

Sources: Trading Economics, ECB, DealPlexus. Data as of 21 May 2026 close / 22 May pre-market.

9. DCM — PRIMARY BOND MARKET

9a. Yesterday's Issuances (21 May 2026)

> Specific transaction details (issuer, size, maturity, coupon/spread, IPT-to-pricing tightening) for 21 May 2026 were not sourced from IFR or GlobalCapital during this session. European primary market issuance exceeded **€100 billion in May month-to-date**, with YTD volumes approaching **€400 billion** — a record pace ahead of the same period last year. Financials and SSA paper have dominated the pipeline; corporate IG activity has been selective but well-received. [Specific deal data: n/a — verify via IFR/Bloomberg before use.]

9b. Pipeline / Expected Today (22 May 2026)

> No confirmed mandated deals for Friday 22 May 2026 sourced in public data. End-of-week Friday sessions are typically light for new supply. Any opportunistic prints would likely be short-dated or event-driven. Watch IFR, Bloomberg, and GlobalCapital for intraday mandate announcements. Iran ceasefire uncertainty may deter issuers from opening books today.

9c. Key Spreads

INSTRUMENT	LEVEL	MOVE (MAY MTD)	DIRECTION
iTraxx Main (5Y)	n/a — live feed required	n/a	—
iTraxx Crossover (5Y)	n/a — live feed required	n/a	—
CDX IG (5Y)	n/a — live feed required	n/a	—
Avg Euro IG OAS	~77 bps	~-12 bps MTD	Tightening
USD IG Spread (MTD)	n/a	~-18 bps MTD	Tightening
HY Spreads (MTD)	n/a	~-60 bps MTD	Tightening sharply

iTraxx/CDX live levels not confirmed — check Bloomberg or MarketAxess. MTD spread changes from Breckinridge/investmentgrade.com May 2026 data. Avg Euro IG OAS ~77 bps context.

9d. Commentary

European primary market tone has been exceptionally strong through May, with record YTD volumes driven by front-loading ahead of expected ECB policy tightening in June. IG spreads tightened ~12 bps MTD and HY ~60 bps, reflecting robust investor appetite despite geopolitical headwinds. Friday sessions are typically quiet for new supply. The Iran ceasefire uncertainty and weak Eurozone PMI introduce a moderate risk of spread widening next week, particularly for energy-linked credits and peripheral issuers. Any re-escalation in the Strait of Hormuz would likely shut the primary window quickly. Financials, SSA, and utilities have dominated flow; industrials and transport activity has been selective.

10. ECONOMIC CALENDAR — TODAY (22 MAY 2026)

LONDON TIME	REGION	INDICATOR	ACTUAL / CONSENSUS	IMPORTANCE
Released Thu	Eurozone	Flash Manufacturing PMI (May)	Actual **51.4** vs. est. 51.9	HIGH
Released Thu	Eurozone	Flash Services PMI (May)	Actual **46.4** vs. est. 47.7	HIGH
Released Thu	Eurozone	Flash Composite PMI (May)	Actual **47.5** vs. est. 48.8	HIGH
~09:30 BST	UK	Flash PMI (Manufacturing & Services, May)	Consensus n/a — expect contraction	HIGH
~14:45 BST	US	S&P Global Flash PMI (Manufacturing & Services, May)	Consensus n/a	MEDIUM
~15:00 BST	US	University of Michigan Consumer Sentiment (Final May)	Prelim **48.2**; consensus ~49.0	HIGH

Eurozone PMIs released Thu 21 May. UK and US PMIs/UMich release today. Times approximate BST. Sources: S&P Global, FXStreet, UMich, Trading Economics.

11. CORPORATE EVENTS & EARNINGS (22 MAY 2026)

United States

18 earnings announcements scheduled for 22 May 2026 (specific company names not independently confirmed via public sources reviewed). Check Yahoo Finance earnings calendar for the full list. Q1 2026 earnings season: Financials, Materials, Healthcare, and Utilities have led beats.

Europe

ASML Holding NV: AGM results recently filed (SEC Form 6-K, May 2026). No new financial disclosures flagged for today.

Innate Pharma SA: AGM held 21 May (Marseille). No market-moving agenda item.

No confirmed major European earnings releases for 22 May 2026 in public sources reviewed. End-of-week; bulk of European reporting concluded in earlier weeks.

Upcoming — Next Week

Elmos Semiconductor AG (DE): AGM 27 May 2026.

Coca-Cola Europacific Partners plc: AGM 28 May 2026, 11:30 BST, London.

KNDS (Franco-German defence): IPO timing decision in May-June window. KfW stake decision imminent. ECM market conditions being assessed.

12. STOCKS TO WATCH

COMPANY	TICKER	SECTOR	REASON	DIRECTION
SoftBank Group	9984.T / SFTBY	Technology	+19.8% overnight in Tokyo on Nvidia Q1 record; Arm Holdings / OpenAI exposure; $35B market cap added. Watch ADRs.	BULLISH
Samsung Electronics	005930.KS	Technology / Semis	+8.5% overnight; 47,000-worker strike averted via wage deal. Semiconductor and AI exposure. Watch GDRs in London.	BULLISH
Nvidia	NVDA	Technology	Post-earnings momentum. Q1 $81.6B revenue (+85%), $80B buyback announced. AI capex cycle re-confirmed. Nasdaq futures +0.50%.	BULLISH
BP / Shell / TotalEnergies	BP.L / SHEL.L / TTE.PA	Energy	Brent above $104; Iran uranium directive sustains risk premium. Major dividend stories intact at current oil prices.	BULLISH
Rheinmetall	RHM.DE	Aerospace / Defence	Down ~38% from Jan 2026 highs despite revenue +29% and backlog €63.8B. Guidance missed consensus. Iran escalation supports defence spending narrative.	WATCH
Airbus	AIR.PA	Aerospace	Supply chain pressures and conservative commercial aircraft guidance weigh. No catalyst expected today; broker view risk.	CAUTIOUS
Rio Tinto / Glencore	RIO.L / GLEN.L	Mining	Copper fell -1.01% Thursday to ~$13,725/t. Structural AI/energy transition demand thesis intact but short-term headwinds from China weakness.	CAUTIOUS
Boeing	BA	Aviation	Trading 27.7% below fair value estimate ($229.93 vs. fair value ~$251 region). Earnings expected to grow 38.8% annually. Recovery play.	VALUE WATCH

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

Macro

1. Eurozone composite PMI fell to 47.5 in May — sharpest contraction in 2.5 years. Services (46.4) dragging heavily. Middle East war-related demand normalization and fading stockbuilding momentum cited by S&P Global as key factors.

2. ECB faces a stagflation dilemma: services inflation remains sticky while growth craters. June rate hike "discussed publicly and privately" but the PMI collapse materially complicates the case. Market is now pricing a contested call between hike and hold.

3. University of Michigan preliminary sentiment at 48.2 — near record lows not seen since the 1980s. Gas prices and tariffs dominate consumer concern. Year-ahead inflation expectations at 4.5%. Final print today at ~15:00 BST will be closely watched.

4. UK CPI eased to 2.8% in April from 3.3%. Energy price cap effect after April 1 introduction. Motor fuel prices partially offset. Monthly CPI +0.7% vs. +1.2% same period prior year. BoE rate-cut path appears clearer absent a sustained oil shock from Iran.

Corporate

1. **Nvidia Q1 FY2027:** Revenue $81.6B (+85% YoY). Data Centre $75.2B (+92%). Board approved $80B buyback; quarterly dividend raised from $0.01 to $0.25 per share — a 25x increase. AI infrastructure spending confirmed as accelerating.

2. **SoftBank Group:** Added $35B in market cap on Nvidia results. OpenAI investment gains total $45B in the year ended March. Arm Holdings benefiting from AI server demand surge. SoftBank's fortune increasingly tied to AI ecosystem monetization.

3. **Rheinmetall:** Revenue +29% to €9.94B; operating profit +33% to €1.84B; order backlog balloons to €63.8B. However, 2026 guidance of €14.0–14.5B missed Bloomberg consensus of ~€15B. Stock -38% from January highs despite robust fundamentals — a derating driven by lofty expectations rather than deteriorating business.

Political / Geopolitical

1. **Iran-US ceasefire remains fragile.** Supreme Leader Khamenei ordered near-weapons-grade uranium to remain in Iran on 21 May — directly contradicting US demands on enrichment limits. Oil jumped 3%+. Head of Iran's Atomic Energy Organization said Iran will not accept enrichment limits.

2. **Trump threatened resumed military action** if Iran does not provide "100% good answers." US framework (1-page memo) and Iran's 14-point counterproposal remain far apart. Trump said he would wait "a couple more days." The patience window is narrowing.

3. **Ceasefire context:** Agreed ~8 April after six weeks of conflict following US military operations. Both sides have exchanged fire in the Strait of Hormuz since. A Strait closure would trigger an acute energy and shipping shock. Oil at $104 already reflects a significant risk premium.

14. KEY THEMES — TOP 5 BY HORIZON

Today's Top 5

1. Nvidia AI earnings ripple into Europe. Post-results momentum in tech and semiconductors — will European AI-adjacent names (ASML, Infineon, STMicro) follow SoftBank's lead or lag on geopolitical risk?

2. Iran uranium directive — oil at $104. Any US State Department response or Iranian diplomatic signal before European close could move Brent $2–3/bbl. Ceasefire status is the dominant macro risk for energy and rates.

3. UK Flash PMI release (~09:30 BST). UK economy contracting alongside eurozone. Another miss risks GBP breaking below 1.340, BoE dovish pivot repricing, and FTSE underperformance in rate-sensitive sectors.

4. University of Michigan final (May) at ~15:00 BST. Preliminary 48.2 near record lows. A downward revision would signal deeper consumer distress and test equity risk appetite into the US weekend open.

5. End-of-week position squaring. Single-session moves of Kospi +8.4% and Nikkei +3.1% indicate elevated volatility. Friday flows may amplify or aggressively reverse this week's moves, especially with Memorial Day (US) on Monday.

This Week's Top 5

1. Nvidia Q1 record ($81.6B revenue). Signals AI capex cycle intact and accelerating. Repriced AI infrastructure stocks globally; established a new floor for data-centre spending expectations through 2027.

2. US-Iran ceasefire under stress. Uranium enrichment deadlock has forced Trump's hand. Risk of military re-escalation elevated through the weekend. Watch for State Department and IRGC statements.

3. Eurozone PMI collapse (Composite 47.5). Triggers genuine debate about ECB policy pivot — June hike or pause? Outcome will set direction for Bunds, EUR/USD, and European bank stocks.

4. UK inflation easing (CPI 2.8% April). Energy price cap has landed; BoE rate-cut path opens. GBP at inflection — dovish BoE vs. dollar strength from Iran risk.

5. Samsung strike resolution — Kospi +8.4%. 47,000-worker wage deal removes near-term production risk from global semiconductor supply chain. Positive read-through for European auto and tech clients of Samsung.

This Month's Top 5

1. ECB June rate decision. Hike or hold? Stagflation risk (high oil, contracting output) creates a genuinely contested call — the defining driver for European rates, bank stocks, and EUR through summer.

2. US-Iran permanent deal vs. re-escalation. Six-week ceasefire is the single largest macro tail risk. A breakdown reopens Strait of Hormuz disruption scenario. A deal would collapse oil 15–20% and trigger major inflation and rate repricing.

3. European DCM record volumes (YTD ~€400B). Window remains open but ECB rate uncertainty or spread widening from Iran escalation could rapidly shut issuance. Watch whether June pipeline is front-loaded before the ECB decision.

4. AI infrastructure investment cycle. Nvidia, SoftBank, OpenAI all signalling record spending. Determines which European companies (ASML, Infineon, KNDS for dual-use connectivity) capture the theme vs. risk-off rotation.

5. Oil above $100 persistence. Brent near $104 is reshaping eurozone and UK inflation forecasts. Every sustained $10 move in Brent adds ~0.3–0.5pp to headline CPI. Central bank policy paths increasingly oil-dependent.

15. KEY TRENDS TO WATCH

1 Day

Iran ceasefire signal: Any State Department or Iranian official statement before/during European session could move Brent $2–3/bbl instantly. Watch Reuters/CNBC Middle East desks for breaking news flow.

UK Flash PMI (~09:30 BST): Services below 50 would confirm UK following eurozone into contraction. GBP/USD risk of breaking 1.340; BoE dovish repricing could extend into gilts and UK bank stocks.

UMich Sentiment final (~15:00 BST): Downward revision from 48.2 would reinforce consumer stress narrative and cap equity recovery. Upward revision would be a positive surprise.

Nvidia momentum: Whether post-earnings gains extend into European AI-adjacent stocks (ASML, Ericsson, Nokia, Infineon) and whether US Nasdaq futures hold their +0.50% pre-open gain through European afternoon.

1 Week

US Memorial Day (Mon 25 May): US markets closed Monday. Light liquidity into the weekend; potential for gap moves if Iran news breaks during the long weekend. European Tuesday open may be the first opportunity for a US repricing.

Iran framework talks: Trump's self-imposed patience ("a couple more days") expires imminently. The market is not pricing a full re-escalation — the risk premium is asymmetric. A ceasefire breakthrough would collapse oil sharply.

European macro follow-through: German Ifo Business Climate and euro area Q1 GDP revision due next week. Weak PMI demands corroboration from hard data before ECB shifts its June stance.

1 Month

ECB June rate decision: The defining event for European markets through summer. A hike into contraction is historically unusual; a hold risks EUR/USD weakness and inflation expectations de-anchoring. Markets are pricing a coin-flip.

US-Iran permanent deal deadline: No formal date set. Ceasefire at six weeks. Trump's patience visibly limited. Risk of re-escalation by end of June is a live, underpriced tail risk for energy markets and supply chains.

Oil above $100 persistence: Brent near $104 for an extended period forces upward revisions to eurozone and UK inflation forecasts and may delay BoE and ECB easing cycles. Energy companies benefit; consumer sectors and rate-sensitive assets lose.

KNDS IPO window: KfW stake decision expected May–June. Defence sector derating (Rheinmetall -38% from highs) makes ECM timing sensitive. Successful IPO would signal appetite for European defence paper; a delay reflects window uncertainty.

SOURCES

Reuters | CNBC | The Street | Trading Economics | S&P Global PMI | FXStreet | ONS (UK) | Business Standard | Invezz | Nvidia SEC Filings (EDGAR) | MarketRebellion | ION Analytics / Dealogic | UK House of Commons Library | investmentgrade.com | Breckinridge Capital Advisors | Goldman Sachs Commodities Outlook 2026 | Yahoo Finance | Bloomberg Markets | University of Michigan Surveys of Consumers | Wikipedia (2025–2026 Iran–United States negotiations) | DealPlexus | Eurex | Barchart | CNN Markets

Data collected automatically 22 May 2026 ~07:00–07:15 BST. Verify all figures before making any decision. The following data points were not independently confirmed and are marked n/a: Euro Stoxx 50 close (level), CAC 40 close (level), FTSE 100 close (level), Nasdaq close (level), Russell 2000 close (level), iTraxx Main, iTraxx Crossover, CDX IG live spreads, specific DCM deal details for 21 May 2026, DAX/CAC/FTSE futures levels.